

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-31

TPG PRESSURE, INC.,
COMPLAINANT

v.

OMNI LOGISTICS LLC ET AL.,
RESPONDENTS.

COMPLAINANT'S OPENING BRIEF

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SUMMARY OF ARGUMENT

TPG Pressure, Inc., (“**TPG**”) asserts violations of the Shipping Act of 1984; 46 U.S.C. §§ 40101 et seq. (the “**Shipping Act**”) and Ocean Shipping Reform Act of 2022 (“**OSRA**”), enacted as Public Law 117-146, against Omni Logistics LLC (“**Omni**”) and Epic Freight Services LLC (“**Epic**”, and collectively with Omni, “**Respondents**”) based upon, inter alia, their unjust and unreasonable deceptive, , and fraudulent billing practices and charging of freight and associated rates not in compliance with the rates, charges, classifications, rules, and practices contained in a tariff published in accordance with the Shipping Act, OSRA, and Federal Maritime Commission (the “**Commission**”) regulations.

The evidence in the record reflects that, although Epic and Omni are both non-vessel operating common carriers (“**NVOCC**”) with a published tariff, Epic and Omni engaged in deceptive and fraudulent conduct their billing practices. Respondents charged TPG hundreds of thousands of dollars in “demurrage”, “storage”, chassis charges, and other charges that had no legitimate basis, refusing to provide documentation to substantiate these charges, although they are required to maintain such documentation for seven years. Respondents do not comply with demurrage or detention rule in their tariffs nor did they inform TPG of any other applicable demurrage tariffs. As a consequence, the charges assessed were not set forth in any published tariff, as the Shipping Act requires. Further, Respondents charged TPG hundreds of thousands of dollars in demurrage charges with no evidence such charges were owed and failed to prevent significant unreasonable demurrage charges that were avoidable. In some instances, TPG was charged for extended periods for the use of ocean carriers’ containers when, in fact, the containers had been returned to the carrier before any charges whatsoever had accrued.

Omni and Epic issued invoices that failed to itemize the basis for the charges and the time period for which the “demurrage” was allegedly assessed and failed to provide documentation supporting the charges. This practice was not only unfair and unreasonable, but it was also deceptive and fraudulent because it permitted Omni and Epic to assert that the charges they assessed were simply pass-through costs from the steamship line when in fact discovery revealed that markups were regularly assessed with no provision for such markups in the Epic or Omni tariffs.

Omni and Epic compounded their unjust and unreasonable practices by refusing to release cargo in their possession and control based upon TPG’s alleged failure to pay charges on unrelated shipments. Specifically, Omni and Epic demanded payment of \$1.7M before they would release TPG containers despite the fact that the suppliers of the cargo in those containers had been paid in full and despite the fact that there were no outstanding freight, demurrage or other ancillary charges owing on the containers Epic and Omni refused to release. In holding those containers for ransom, Epic and Omni violated the Shipping Act. The egregious nature of this ransom demand is compounded by the fact that some of the unrelated demurrage charges for which payment was demanded were unreasonable and unsupported.

As a result of Respondents’ unjust and unreasonable practices related to or connected with receiving, handling, storing or delivering property, TPG suffered hundreds of thousands of dollars of damages and demands restitution as set forth below.

PROPOSED FINDING OF FACTS

TPG incorporates its Proposed Findings of Fact by reference.

ARGUMENT

I. The Commission Has Jurisdiction Because Epic and Omni Acted as NVOCCs

The Commission has jurisdiction over Epic and Omni because they acted as NVOCCs, which is a subset of common carrier,¹ with respect to the shipments at issue in this case (the “Shipments”)²: (A) Epic and Omni acted as a common carriers; (B) Epic and Omni acted as shippers in their relationship with the ocean common carriers for the Shipments; and (C) Epic and Omni do not operate the vessels by which the ocean transportation is provided.³ The preponderance of the evidence shows that Omni and Epic acted as NVOCCs.⁴

A. Epic and Omni Acted as Common Carriers with Respect to TPG

Epic and Omni meet the three elements that define common carriers: they (1) held themselves out to the general public as providing transportation by water for ... cargo between the United States and a foreign country; (2) assumed responsibility for transporting TPG’s cargo from the port or point of receipt to the port or point of destination; and (3) used, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a United States port and a foreign port.⁵

¹ See 46 U.S.C. §§ 40501, 40901, 41102(c), 41104.

² The containers at issue in this case are identified in the Proposed Findings of Fact (“PFF”) ¶ 141.

³ 46 U.S.C. §40102(16).

⁴ *Gruenberg-Reisner v. Overseas Moving Specialists, Inc.*, Informal Docket No. 1947(I), 2017 WL 2241031 at *10 (FMC May 17, 2017).

⁵ 46 U.S.C. § 40102(7); 46 C.F.R. § 515.2(e); see also *Landstar Express Am., Inc. v. Fed. Mar. Comm’n*, 569 F.3d 493, 497 (D.C. Cir. 2009) (“[A] person or entity that provides NVOCC services falls within the ambit of [46 U.S.C. § 40901] only when it ‘holds itself out to the general public to provide transportation’ and ‘assumes responsibility for the transportation’”).

The Commission considers it “important to consider all the factors present in each case and to determine their combined effect.”⁶ The Commission will “look beyond documentary labels.”⁷ For example, “it is the status of the carrier, common or otherwise, that dictates the ingredients of shipping documents; it is not the documentation that determines carrier status.”⁸ In determining whether Epic and Omni meet this standard, it is necessary to examine their conduct on the Shipments.⁹ This is a fact intensive inquiry.¹⁰ Further, when numerous shipments are involved, as here, once TPG establishes that (1) Epic and Omni have “held [themselves] out to the general public”; and (2) that vessels on the high seas or Great Lakes were used for part or all of the transportation, then that finding may apply to any and all shipments during the relevant time period.¹¹

1. **Epic and Omni Held Themselves Out to the Public and to TPG as Providers of Cargo Transportation by Water to the U.S. From Foreign Countries**

Among ocean transportation intermediaries, only an NVOCC holds “itself out to the general public to provide transportation by water”¹² “An ocean freight forwarder (“OFF”)

⁶ *Worldwide Relocations, Inc., et al.*, FMC Docket No. 06-01, 2012 WL 11914713, at *5, Order Approving I.D. in Part, Reversing in Part, and Modifying in Part (March 15, 2012) (citing *Activities, Tariff Filing Practices and Carrier Status of Containerships Inc.*, 9 F.M.C. 56, at 65 (F.M.C. 1965)).

⁷ *Id.*

⁸ *Id.*

⁹ *Id.*

¹⁰ *Id.*

¹¹ *Id.*

¹² 46 C.F.R. § 515.2(f).

does not pass this threshold question.”¹³ Epic and Omni held themselves out to the public and to TPG as providers of cargo transportation by water from foreign countries by (i) being licensed NVOCCs with published tariffs; (ii) advertising this service both to the general public and to TPG¹⁴; and (iii) charging TPG ocean freight rates rather than fees an agent would use. Documentation of NVOCC status may not be available for each and every one of the over 900 invoices in question, and this lack of documentation further supports Epic and Omni’s status as NVOCC instead of OFFs.

a. *Epic And Omni Were Licensed NVOCCs and Maintained Tariffs as Such*

“A[n] entity may hold out to the public ‘by the establishment and maintenance of tariffs.’”¹⁵ There is no dispute that Epic and Omni were each licensed NVOCCs.¹⁶ PFF ¶¶ 4, 11. There is also no dispute that Epic and Omni published their NVOCC tariffs and that the public had to pay to access them. PFF ¶¶ 5, 12. As the Commission has previously stated, “the very publication of such [tariff] Rules . . . constituted an announcement to the shipping world that the carriers offered their services under the restriction imposed by the [tariff] Rules. . . Accordingly,

¹³ *Worldwide Relocations, Inc.*, 2012 WL 11914713, at *6.

¹⁴ A person or entity may hold out to the public “by the establishment and maintenance of tariffs, by advertisement and solicitation, and otherwise.” *Worldwide Relocations, Inc.*, 2012 WL 11914713, at *5 (citations omitted). The Commission has previously found that advertising and solicitations to the public are important factors in determining the issue of “holding out” by an entity. *Id.*

¹⁵ *Worldwide Relocations, Inc.*, 2012 WL 11914713, at *6 (citations omitted).

¹⁶ During the pendency of this action, Epic withdrew its NVOCC registration.

it will be presumed that carriers who published the [tariff] Rules . . . did in fact carry out the Rules.”¹⁷ This factor weighs in favor of Epic and Omni’s NVOCC status.

b. Epic and Omni Charged Ocean Freight Rates to TPG

The Commission considers the establishment of ocean freight rates an important indicator of whether an entity operated as an NVOCC.¹⁸ There is no dispute that Epic and Omni charged TPG ocean freight (plus charges like import duties and detention) instead of fees that an agent would use. PFF ¶¶ 23, 25. The invoices from Epic and Omni to TPG clearly show a line-item flat fee for “freight.” PFF ¶¶ 23, 27, 143. Further, David Ikemoto testified that Epic would orchestrate the entire shipment with other NVOCC or logistics suppliers and pay the freight itself, then bill TPG. PFF ¶¶ 46, 47, 51-53. Yohanse Manzanarez confirmed this in his deposition as Epic’s representative, noting that Epic marks up the cost of the services its NVOCCs provide to it when Epic bills TPG, and invoices for freight. PFF ¶ 52. This factor weighs in favor of Epic and Omni’s NVOCC status.

c. Epic and Omni Advertised That They Provided Transportation Over Water and Solicited Such Work

Epic and Omni held themselves out to the public as NVOCCs “by advertisement and solicitation, and otherwise.”¹⁹ The Commission has previously found that advertising and solicitations to the public are important factors in determining the issue of “holding out” by an

¹⁷ *Worldwide Relocations, Inc., et al.*, 2012 WL 11914713, at *8 (citing *International Ass’n of NVOCCs v. Atlantic Container Line*, 25 S.R.R. 675, 685 (ALJ 1990)).

¹⁸ *CMI Distribution, Inc. v. Service By Air, Inc. et al.*, 2021 WL 9204113 at [13] FMC Docket No. 17-05, I.D. (May 24, 2019), at 13. *See also* *Worldwide Relocations*, 2012 WL 11914713 at *9.

¹⁹ *Common Carriers by Water - Status of Express Companies, Truck Lines and Other Non-Vessel Carriers*, 1 S.R.R. 292 (FMC 1961).

entity.²⁰ For example, in *CMI Distribution, Inc. v. Service By Air, Inc.*,²¹ the Commission found that terms and conditions of the respondent addressing “ocean shipments” and referring to the Carriage of Goods by Sea Act (“COGSA”) “make clear to the public, then, that [respondent] might transport cargo by water, and when it does, it does so as a carrier.”²²

Similarly, Omni’s terms and conditions state:

Omni has the kind of ocean freight experience that you expect from a leader. We are an experienced Non Vessel Operating Common Carrier (NVOCC) for all major international carriers. Through our global network of experienced professionals and discounted contract pricing, we provide an integrated solution of ocean freight services.

PFF ¶¶ 15-17 Omni’s terms and conditions further state:

Customer agrees that Omni’s liability to Customer and/or any customer, client, shipper, or consignee of a Customer... for Cargo lost or damaged shall be governed by the liability provisions contained in ... the International Convention for the Unification of Certain Rules Relating to Bills of Lading, August 25, 1924 (the “Hague Rules”); the Protocol to Amend the Hague Rules, February 23, 1968 (“Hague-Visby Rules”), the United States Carriage by Sea Act, 36 U.S.C. §§ 1300 et seq. (“COGSA”) ...

PFF ¶ 17.

Epic’s website states “We provide a comprehensive solution for your international shipping needs.... Door to door - Door to Port.” PFF ¶ 9. Epic’s logo includes an ocean vessel among other forms of transportation. ¶7.



²⁰ See *Activities, Tariff Filing Practices and Carrier Status of Containerships, Inc.*, 6 S.R.R. 483, 489 n.7 (FMC 1965).

²¹ *CMI Distribution, Inc. v. Service By Air, Inc. et al.*, FMC Docket No. 17-05, 2021 WL 9204113, Order Affirming-In-Part and Reversing-In-Part I.D. (July 26, 2021) at 12-14.

²² *Id.*

Further, Epic's email signatures contained language stating that they offered ocean shipments.

PFF ¶ 8. Accordingly, this factor weighs in favor of Epic's and Omni's NVOCC status.

d. Epic and Omni are NVOCCs by Course of Conduct

"The most frequently mentioned characteristic is that a common carrier by course of conduct holds himself out to accept goods from whomever offered to the extent of his ability to carry."²³ In *Worldwide Relocations, Inc.*,²⁴ for example, the court found that where respondents "offered door to door shipping and charged one fee for the entire shipment", the respondents were operating as NVOCCs. In this case, for each of the Shipments, Epic issued quotes to TPG for "Door to Door" services by vessel, charging a single fee for the entire shipment. PFF ¶ 28, ¶ 23. Accordingly, as in *Worldwide Relocations, Inc.*, Epic and Omni's course of conduct establishes that they were acting as NVOCCs with respect to the Shipments.

e. Omni and Epic Received Compensation Only from TPG

Another factor in whether an entity is operating as an NVOCC is payment. OFFs receive compensation from both the shipper and the carrier.²⁵ Unlike OFFs, NVOCCs receive compensation only from the shipper.²⁶ Here, Omni and Epic received compensation only from TPG. PFF ¶ 60. Accordingly, this factor weighs in favor of NVOCC status for Epic and Omni.

²³ *Worldwide Relocations, Inc.*, 2012 WL 11914713, at *7 (citations omitted).

²⁴ *Worldwide Relocations, Inc.*, 2010 WL 11768817, at *2, F.M.C. Docket No. 06-01, I.D. (Aug. 16, 2010) (Aff'd in Part March 15, 2012).

²⁵ *Landstar Exp. Am., Inc. v. Fed. Mar. Comm'n*, 569 F.3d 493, 495 (D.C. Cir. 2009) citing *Nat'l Customs Brokers & Forwarders Ass'n of Am., Inc. v. United States*, 883 F.2d 93, 95 (D.C. Cir. 1989).

²⁶ *Id.* at 101.

f. Epic's and Omni's OFF Licenses Are Not Relevant

Respondents' OFF licenses have no bearing on the instant case for two reasons. First, the Shipments were entering the United States and cannot be OFFs because "OFFs, by definition, handle shipments leaving the United States" not entering the United States.²⁷ Second, as demonstrated above, Epic and Omni did not clearly establish their roles in their documentation to all parties in the transportation transaction.²⁸ As dual NVOCC-OFF licensed entities, Omni and Epic had within their own power the ability to insulate themselves from questions about their roles in the transportation transactions with TPG by being clear in its shipping documents as to the status and relationship of all parties.²⁹ This would allow them to be armed if any question arises in a Commission proceeding regarding their role in the transaction.³⁰ As dual NVOCC-OFF licensed entities, Epic and Omni should have been diligent in their documentation, but failed to do so. Accordingly, any lack of documentation must result in a presumption that Epic and Omni were acting as NVOCCs.³¹

Even assuming, *arguendo*, that Epic and Omni were found to be acting as OFFs and not NVOCCs, they would still be responsible under 46 C.F.R. § 515.32 to maintain supporting documents for all charges and provide them to TPG on request and would equally be liable under

²⁷ *Logfret, Inc. v. Kirsha, B.V., et al.*, 2019 WL 5088014, at *11, FMC Docket 18-10 (Sept. 17, 2019) (Notice Not to Review filed Oct. 21, 2019); *Petra Pet, Inc. v. Panda Logistics Limited, et al.*, 2012 WL 11914703 at *20.

²⁸ *Worldwide Relocations, Inc.*, 2012 WL 11914713, at *9.

²⁹ *Id.*

³⁰ *Id.*

³¹ *Id.*

46 USC § 41102(c) as an ocean transportation intermediary for failing to maintain and provide such documentation.

2. Omni and Epic Assumed Responsibility for the Transportation of TPG's Cargo

As a “common carrier” per the Shipping Act, and NVOCC “assumes responsibility for the transportation from the port or point of receipt to the port or point of destination,” 46 U.S.C. § 1702(6). NVOCCs undertake total responsibility for moving the shipment, and they control the shipment and release of the shipment.³² Invoices and shipping documents can be used to demonstrate that an NVOCC assumed responsibility, although the Commission “looks beyond documentary labels”.³³ Door to door, door to port, or port to port service all indicate work as an NVOCC, as does collecting payments directly from shippers and then paying secondary NVOCCs for the shipments.³⁴ Epic’s and Omni’s routine practice is relevant in determining whether they “assumed responsibility” for the Shipments, particularly when there are few documents for a particular shipment.³⁵ Similarly, “ambiguous identification of party shippers in [the shipping] documents may lead to a finding of NVOCC status.”³⁶

Other evidence may also indicate assumption of responsibility. For example, in *CMI Distribution*, the ALJ found that the respondent “was listed either as a shipper, consignee, notify

³² *Worldwide Relocations, Inc.*, 2010 WL 11768817, at *32.

³³ *Id.*, at *36-37.

³⁴ See *Worldwide Relocations, Inc.*, 2010 WL 11768817, at *36-37; *CMI Distribution, Inc. v. Service By Air, Inc. et al.*, 2021 WL 9204113, *15 (July 26, 2021).

³⁵ *Worldwide Relocations, Inc.*, 2012 WL 11914713, at *8, 10.

³⁶ *CMI Distribution, Inc.*, 2021 WL 9204113 at *17.

party, the entity to be billed for the charges, or the entity to contact for their delivery.”³⁷ The ALJ further relied on evidence that: (1) the respondent’s employees believed respondent assumed responsibility for delivery of the claimant’s cargo; (2) after engaging the respondent, the claimant ceased having control over the goods or their transportation; (3) claimant did not choose which steamship line would transport its goods and had no contact with steamship lines, or other downstream carriers; (4) respondent assumed responsibility for holding shipments until the claimant paid for them – all to conclude that the “evidence thus amply demonstrates that [respondent] assumed responsibility for the transportation of the [claimant’s] shipments.”³⁸

Similarly, the evidence here abundantly demonstrates that Omni and Epic assumed responsibility for TPG’s Shipments. Omni and Epic took on the Shipments on a door-to-door or door-to-port basis. PFF ¶¶ 28, 144. Omni and Epic selected all the downstream service providers, leaving no control to TPG.³⁹ PFF ¶¶ 46, 47, 53. Omni and Epic were listed as consignee, notify party, entity to be billed, and/or contact for delivery. PFF ¶ 59. Omni and Epic issued freight invoices to and collected payment from TPG,⁴⁰ and then paid the secondary NVOCCs and service providers such as World Cargo International S.A.S. themselves. PFF ¶ 53. When confronted with

³⁷ *Id.* at *16-17.

³⁸ *Id.* at *17-19.

³⁹ “That SBA itself might not have selected or communicated with VOCCs and that CMI might have at some point learned the identity of some NVOCCs in the chain is not particularly relevant. What is important is that CMI did not select any VOCCs, NVOCCs, or any other entity in the process. Rather CMI engaged SBA, who took care of everything.” *CMI Distribution, Inc.*, 2021 WL 9204113, *17.

⁴⁰ *CMI Distribution, Inc.*, 2021 WL 9204113 at *19 (“freight invoices are themselves evidence of assumption of responsibility. *EuroUSA Shipping, Inc. et al.*, Docket No. 06-06, 2013 WL 9808689 at *10-12 (Sept. 10, 2013) (invoicing entities for ocean freight charges and marking up charges incurred constitutes evidence of assuming responsibility for cargo).”)

repeated requests for details on charges, Epic and Omni consistently gave incorrect or incomplete documentation to TPG. PFF ¶¶ 70, 72-76, 81-86, 90, 93-101, 106, 108, 111, 112, 114-116. Omni's and Epic's employees believed that Omni and Epic had assumed full responsibility for the delivery of TPG's shipments. PFF ¶ 47-49. After engaging Epic and Omni, TPG had no control over the shipment and would go to Epic and Omni for information on the shipment. PFF ¶ 46, 47, 50. Epic and Omni had such total control over TPG's Shipment that at one point they refused to release a shipment to TPG unless \$1.7M was paid to Epic and Omni. PFF ¶ 136-37. Accordingly, the evidence establishes that Epic and Omni assumed responsibility for the transportation from the port or point of receipt to the port or point of destination. 46 U.S.C. § 40102(6)(A)(ii). Epic and Omni could not withhold the cargo had they not had complete control over it.

3. **The Cargo Was Transported Over International Waters**

Epic also meets the last element of acting as a common carrier: it "used, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a United States port and a foreign port." The bills of lading plainly reflect that the Shipments were all by vessel over international waters. PFF ¶ 45. Omni and Epic's invoices to TPG further confirm that the Shipments all involved transportation over international waters. PFF ¶ 144.

B. **Epic Acted as a Shipper in Its Relationship with the Ocean Common Carriers**

The definition of "shipper" is broad, and includes not only the cargo owner, but also "the person to whom delivery is to made" and "a non-vessel-operating common carrier that accepts responsibility for payment of all charges applicable under the tariff or service contract."⁴¹ 46 U.S.C. § 40102(23). As discussed above, the shipping documents listed Epic or Omni "either as

⁴¹ *CMI Distribution, Inc.*, 2021 WL 9204113, at *29.

shipper, consignee, notify party, the entity to be billed for the charges, or the entity to contact for their delivery,” roles that fall within the statutory definition of “shipper.”⁴² PFF ¶ 59.

Further, as noted above, Epic and Omni employees testified that Epic and Omni “ultimately” paid charges assessed by steamship lines that were passed along to TPG.⁴³ PFF ¶¶ 52, -55, 57. There is evidence that Omni and Epic dealt directly with ocean common carriers in a shipper capacity, receiving and paying invoices from invoices from World Cargo International S.A.S. for example.⁴⁴ PFF ¶¶ 46-53.

C. Epic Did Not Operate The Vessels Used For The Ocean Transportation

There is no dispute that Epic and Omni did not themselves operate vessels used to transport TPG’s cargo.

D. Epic and Omni Performed NVOCC Services Set Forth In 46 C.F.R. § 515.2(k)

To crystalize the fact that Epic and Omni acted as NVOCCs with respect to the Shipments, the record is replete with evidence that Epic and Omni performed NVOCC services for TPG that fall within the definitions in the Commission’s regulations at 46 C.F.R. § 515.2.

1. Purchasing transportation services from a common carrier and offering such services for resale to TPG

Deposition testimony and the documents on the record establish that Epic and Omni purchased transportation from other common carriers and resold those services to TPG at a markup. PFF ¶¶ 46-60. Deposition testimony of Epic confirms that Epic and Omni purchased for their own account all the transportation services it re-sold to TPG, often on a company credit

⁴² *CMI Distribution, Inc.*, 2021 WL 9204113, at *21.

⁴³ *CMI Distribution, Inc.*, 2021 WL 9204113, at *21.

⁴⁴ *CMI Distribution, Inc.*, 2021 WL 9204113, at *21.

card with limited approval mechanisms internally. PFF ¶¶ 46-60. The records shows credit card payments for same. PFF ¶ 144.

2. **Payment of port-to-port or multimodal transportation charges**

As noted above, Epic and Omni paid in their own name port-to-port and multimodal transportation charges, as evidenced by their deposition testimony. PFF ¶¶ 46-60.

3. **Entering Into Affreightment Agreements With Underlying Shippers**

There is no dispute that TPG contracted Epic and Omni to transport TPG's cargo from abroad to the United States. The record establishes that to do so, Epic and Omni entered into affreightment agreements with underlying OTIs and carriers such as World Cargo International S.A.S., Hapag Lloyd, and others. PFF ¶¶ 46-60.

4. **Assisting with clearing shipments in accordance with U.S. government regulations**

Epic and Omni engaged customs house brokers to clear TPG's shipments in accordance with U.S. Customs regulations. PFF ¶¶ 54-55, 144. Epic and Omni paid the customs house broker, Scott Ryan Allman Customs House Broker, themselves. Further, Epic and Omni assisted with the clearance process itself. PFF ¶ 54-55.

5. **Arranging for inland transportation and paying for inland freight charges on through transportation movements**

Epic and Omni arranged for trucking and other transportation from the port to the final destination, as reflected on the invoices they issued to TPG, which reflect costs for trucking. PFF ¶ 144.

6. **Paying lawful compensation to ocean freight forwarders**

Epic and Omni paid compensation to local ocean freight forwarders such as World Cargo International S.A.S. in Colombia. PFF ¶¶ 46-60.

7. **Coordinating the movement of shipments between origin or destination and vessel**

Epic and Omni handled all aspects of the transportation of TPG's Shipments. PFF ¶¶ 46-60. TPG would call on Epic and Omni when they needed information on the movement and status of the containers in the Shipments. PFF ¶ 50. The record shows that Epic and Omni took delivery of the Shipments once they arrived to the United States, paid the downstream NVOCCs and carriers, and arrange for inland transportation to TPG's customers. PFF ¶¶ 46-60.

8. **Leasing Containers**

The record shows that Epic and Omni leased containers to TPG as well, and had "primary providers." PFF ¶ 56.

9. **Entering into arrangements with origin or destination agents**

Epic and Omni entered into arrangements with agents at origin, such as World Cargo International S.A.S. in Colombia. PFF ¶¶ 46-60. As described in Epic and Omni's testimony, each downstream service provider would markup the rate of the one below, such that ultimately Epic and Omni shared fees with origin agents. PFF ¶¶ 46-60.

10. **Collecting freight monies from shippers and paying common carriers as a shipper on NVOCC's own behalf**

As demonstrated at length above, Epic and Omni collected freight monies from TPG and paid third party NVOCCs as a shipper on its own behalf. This is evidenced by the invoices Epic and Omni sent to TPG and the payments by Epic and Omni directly and on their own behalf of the same charges to the downstream providers. PFF ¶¶ 46-60.

In sum, the facts in the record and the governing law establish that Epic and Omni held themselves out as carriers, assumed responsibility for TPG's Shipments as carriers and, therefore, operated as NVOCCs in the U.S. By operating in this capacity with respect to the TPG

Shipments, Epic and Omni subjected themselves to Commission jurisdiction under the Shipping Act.

II. Epic and Omni Violated Shipping Act Section 41102(c) Because They Failed to Observe Just and Reasonable Billing Practices

As ocean transportation intermediaries, Omni and Epic were required to “to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). However, Epic and Omni regularly (1) charged rates and markups that were not published in their tariffs, PFF ¶¶ 52, 67, 122; (2) failed to provide TPG with complete and accurate documentation supporting unreasonable fees and charges, PFF ¶¶ 70, 72-76, 81-86, 90, 93-101, 106, 108, 111, 112, 114-116; (3) failed to provide TPG with timely information concerning detention or demurrage rates, PFF ¶¶ 44, 66; (4) failed to prevent avoidable charges, PFF ¶¶ 86-92, 102-106, 109, 117-18, 124-135; and (5) attempted to collect unreasonable and unsupported alleged debts from TPG by holding 81 unrelated TPG containers hostage over 14 days. PFF ¶¶ 136-137.

In engaging in these activities, Epic and Omni violated Section 41102(c) because (1) Epic and Omni are OTIs subject to that Section, (2) these practices occurred on a normal, customary, and continuous basis; (3) these practices relate to or are connected with receiving, handling, storing, or delivering property; (4) these practices are unjust and unreasonable; and (5) these practices are the proximate cause of the claimed loss. 46 C.F.R. § 545.4.

A. Epic and Omni Acted as Non-Vessel Operating Common Carriers with Respect to Complainant

As discussed above, Respondents acted as NVOCCs with respect to the Complainant's cargoes. NVOCC is a kind of OTI. Accordingly, Omni and Epic fall within the scope of Section 41102(c).

B. Epic's and Omni's Acts Occurred on a Normal, Customary, and Continuous Basis

After the merger between them, Respondents' practices lacked the systemic controls to properly track and ship containers and records. PFF ¶¶ 70, 72-76, 81-86, 90, 93-101, 106, 108, 111, 112, 114-116. Internal correspondence from Epic and Omni establish that Respondents recognized they were overwhelmed and no longer had the capability to properly track containers, and yet seemed incapable of surmounting the deterioration in their practices. PFF ¶¶ 70, 72-76, 81-86, 90, 93-101, 106, 108, 111, 112, 114-116. This led to unnecessary detention and demurrage charges, incorrect records, improper markups, lack of information, and overbilling, and a failure to prevent avoidable charges. Respondents try to blame these issues on the pandemic, but these issues persisted well into 2022 when this case was filed — actions over a period of two years constitute normal, customary, and continuous practices. In fact, Omni and Epic were tracking this information themselves, and specifically decided not to share it with TPG, saying in an email "I don't want Thompson to see this info." Epic and Omni capped off their unreasonable billing practices with unreasonable collection practice, holding 81 unrelated TPG containers hostage over 14 days.

1. Respondents Customarily and Continuously Charged TPG Unpublished Markups and Unreasonable Charges with No Support

Epic's and Omni's improper markups and failure to justify unreasonable charges lasted from January 2020 into 2022 and applied to 902 containers. PFF ¶ 144. As the Chief Administrative Judge has determined in her *Order on Motion to Amend Complaint and Motion to Dismiss* served on February 24, 2023, that allegation that the billing practices at issue applied to over two hundred containers was sufficient to allege, a normal was sufficient to allege a normal, customary, and continuous basis. Order on Motion to Amend at 4. Accordingly, the billing

practices at issue applied to 902 containers are sufficient to constitute a normal, customary, and continuous basis.

2. **Respondents Customarily and Continuously Failed to Provide Timely Information Concerning Demurrage Charges**

Epic's tariff states "all shipments will be subject to the origin and destination terminal charges assessed by the underlying ocean carrier, including demurrage charges, whose vessel will be clearly identified on bills of lading." PFF ¶ 4. Omni's tariff does not include express demurrage rules or pass-through charges rules. However, it includes conditions of a sample bill of lading, which state:

(5) The merchant shall be liable for the loss, damage, contamination, soiling, detention or demurrage before, during and after the Carriage of property (including but not limited to containers) of the Carrier of any person or vessel (other than the Merchant) referred to in 5(2) above caused by the Merchant or any person acting on his behalf or for which the Merchant is otherwise responsible.

PFF ¶ 4.

However, despite shipping over 900 containers to TPG over the course of three years, Respondents failed to provide supporting documentation for these charges that would allow TPG to determine what those carrier's rates and free time for demurrage in advance, preventing TPG from helping Epic and Omni ensure that unnecessary charges were prevented. PFF ¶ 70, 72-76, 81-86, 90, 93-101, 106, 108, 111, 112, 114-116. Failures at issue applying to 902 containers constitute a normal, customary, and continuous practice. Correspondence shows TPG specifically requesting that Epic notify TPG of any additional charges before incurring them and provide options to TPG.

3. **Respondents Customarily and Continuously Failed to Prevent or Mitigate Unnecessary Charges**

However, Respondents still failed to provide TPG with timely information concerning demurrage and detention, which are preventable charges, thereby preventing TPG from mitigating these costs. PFF ¶¶ 70, 72-76, 81-86, 90, 93-101, 106, 108, 111, 112, 114-116. Respondents' practices caused TPG to incur preventable detention and demurrage charges. Further, evidence shows that TPG was able to use other companies that were able to avoid these egregious charges. PFF ¶¶ 86-92, 102-106, 109, 117-18, 124-135.

4. **Respondents Customarily and Continuously Used Coercive Collection Practices**

Epic's and Omni's actions in holding TPG's cargo hostage concerned 81 containers that Epic and Omni threatened to hold hostage for ransom over the course of 14 days unless TPG paid \$1.7 million. PFF ¶¶ 136-137. Each day that Epic and Omni held each TPG container hostage constitutes a separate violation of 41102(c), consistent with Commission practice in other areas.⁴⁵ Accordingly, this constitutes 1,134 instances of violations.

Although many of these shipments were "on the water" and not yet at port, the aggregate value of the cargo that Epic and Omni threatened to withhold over disputed past invoices was

⁴⁵ *C.f.*, Statement by Commissioners Carl W. Bentzel and Max Vekich on FMC's approval of the \$2 million Settlement Agreement with Hapag-Lloyd, (June 10, 2022), available at <https://www.fmc.gov/statement-by-commissioners-carl-w-bentzel-and-max-vekich-on-fmcs-approval-of-the-2-million-settlement-agreement-with-hapag-lloyd/> (Stating "we believe that under 46 U.S.C. § 41107(a), each day of a continuing violation constitutes a separate violation. As determined by the ALJ, Hapag-Lloyd's unjust and unreasonable practice was to assess detention and demurrage when there were insufficient appointments available. Accordingly, each day that this practice was in place should constitute a separate violation."); 46 U.S.C. § 505 ("Each day of a continuing violation is a separate offense" with respect to knowingly and willfully violating a regulation or order of the Commission or the Secretary of Transportation); 46 C.F.R. § 515.1(b) (stating "Each day of a continuing violation shall constitute a separate violation" with respect to violations for operating as an OTI without a proper license or registration).

\$479,999.00. PFF ¶¶ 136-137. These disputed charges Epic and Omni forced TPG to pay were not related to the withheld containers but to earlier shipments. PFF ¶¶ 136-137. Epic and Omni's tactic worked, and TPG was forced to pay under illegal duress the disputed charges (which are the very charges disputed in this case) to get the pipes to its clients' construction projects and avoid contractual claims from its clients due to construction delays. PFF ¶¶ 136-137. TPG paid \$228,536 on or about May 20, 2022, to Omni and Epic and another \$417,000 on or about May 31, 2022. PFF ¶¶ 136-137. Due to Epic and Omni's tactics, 3 containers worth approximately \$27,542.70 were withheld for 22 days (containers CMAU4830227 and CMAU4265316) and 17 days (container DRYU9980059), constituting 61 separate violations alone. PFF ¶ 144. Given that 81 containers were involved over the course of 14 days, Omni's and Epic's coercive collection practices here constitute a normal, customary, and continuous.

C. Omni's and Epic's Acts Related to or Were Connected with Receiving, Handling, Storing, or Delivering TPG's Property

All of the invoices and charges at issue relate to the demurrage, detention, customs brokerage, storage, chassis, and other charges directly connected to the delivery of TPG's cargo. PFF ¶ 144. Accordingly, the element requiring that the practice be connected with receiving, handling, storing, or delivering property is also established. Coercing a shipper into payment by withholding unrelated cargo is also deemed "connected with receiving, handling, storing, or delivering property."⁴⁶ The record establishes that on May 17, 2022, Omni's representative, Bill Heathcock, emailed TPG stating that "no additional freight for TPG will be delivered until Omni

⁴⁶ *C.f., Petra Pet, Inc.*, 2012 WL 11914703 at *20 (finding that the respondent had violated 46 U.S.C. § 41102(c) "by coercing [claimant] into paying amounts owed to [respondent] by [claimant's intermediary]. Specifically, [respondent] aborted shipments, withheld cargo, and failed to provide notice.").

receives” ... “\$1.7 million owed for freight handled and delivered” – charges which are the subject of this case and which TPG disputed at the time. PFF ¶¶ 136-37. Mr. Heathcock also stated that TPG’s “Freight that is ‘on the water’ or otherwise in transit is approx. \$480K (this figure could change dramatically depending on TPG).” PFF ¶¶ 136-37. Accordingly, Omni’s and Epic’s actions in maintaining sloppy recordkeeping, improper markups, and in using their dispute with TPG over earlier shipments as justification for refusing to release cargo in later shipments were related to the “receiving, handling, storing, or delivery” of TPG’s cargo.

D. Omni’s and Epic’s Acts Were Unjust and Unreasonable

Overall, Omni and Epic failed to properly carry out the obligations they were paid to perform, which constitutes a violation of Section 41102(c).⁴⁷ In *Gruenberg-Reisner*, for example, the Commission stated that it “has recognized in numerous decisions that NVOCCs or freight forwarders violate § 41102(c) when they fail to fulfill NVOCC or freight forwarder obligations ...”⁴⁸ Omni’s and Epic’s practices in (i) charging improper markups and other unsubstantiated charges, (ii) failing to provide timely information concerning detention and demurrage, (iii) failing to prevent avoidable charges, and (iv) holding cargo hostage for unrelated freight and demurrage charges, each are unjust and unreasonable failures by Omni and Epic to properly carry out the obligations they were paid to perform, which constitutes a violation of Section 41102(c).

⁴⁷ *Bimsha International v. Chief Cargo Services, Inc. et al.*, Docket No. 10-08, 2013 WL 9808692, at *5, Memorandum Opinion and Order (FMC Sept. 4, 2013).

⁴⁸ *Gruenberg-Reisner v. Overseas Moving Specialists, Inc.*, 34 S.R.R. 613, 620 (FMC 2016).

1. Respondents' Unpublished Markups Are Unjust and Unreasonable

To be just and reasonable, charges by Respondents must be pass-through charges with no markup⁴⁹ and published in a tariff.⁵⁰ As discussed in the Commission's *Order Affirming-in-Part and Reversing-In-Part Initial Decision in CMI Distribution, Inc. v. Service By Air, Inc.*, the Shipping Act "requires common carriers to publish all their rates and charges in a tariff ... Although changes in pass-through charges may take effect upon publication under the Commission's tariff regulations, the *passthrough charges must still appear in a tariff*."⁵¹ In *CMI*, the Commission specifically considered whether only markups must appear in a published tariff where the entity that provided the tariff is only charging a markup and is not the one issuing the actual charge.⁵² The Commission found that the ALJ had erred in suggesting that "only markups to pass-through charges need to appear in a published tariff."⁵³

Accordingly, Omni and Epic needed to provide information about the markups to TPG and systematically failed to do so. Omni's and Epic's markups were not published in their tariffs. PFF ¶ 4, 11, 122. Further, Omni and Epic admitted in depositions that they never applied a consistent markup, so there is no way for TPG to discern these charges for itself, and it should not have to do so. PFF ¶ 52. To the extent these are deemed overcharges they are without question unjust and unreasonable.⁵⁴

⁴⁹ *Gruenberg-Reisner*, 2017 WL 2241031 at *12.

⁵⁰ *CMI Distribution, Inc.*, 2021 WL 9204113 at *27.

⁵¹ *CMI Distribution, Inc.*, WL 9204113 at *27 (emphasis added).

⁵² *Id.*

⁵³ *Id.*

⁵⁴ See, e.g., *Total Fitness Inc., v. Worldlink Logistics, Inc.*, 1998 WL 940255 at *11-12 (Dec. 10, 1998).

2. **Respondents' Failure to Provide Supporting Documentation for Charges Is Unjust and Unreasonable**

As noted above, to be just and reasonable, charges by Epic and Omni must be pass-through charges with no mark up.⁵⁵ Although the NVOCC has the right to impose pass-through charges, (1) undocumented charges must be reasonable,⁵⁶ and (2) substantial charges must be documented with proof of their propriety.⁵⁷ The Commission has previously found charges of \$1,941.56 on a shipment with freight of \$17,575 was substantial.⁵⁸ Substantial undocumented charges are presumptively unreasonable,⁵⁹ a presumption that Epic and Omni cannot overcome. Further, Respondents were required to maintain such information under 46 C.F.R.33 § 515.33.

Omni and Epic failed to provide proof of the propriety of at least \$847,712.63 in pass-through charges despite repeated requests from TPG. PFF ¶¶ 144-50. The charges are not otherwise reasonable because they are substantial and Epic and Omni cannot establish that they themselves paid these charges, consistent with the intention behind the Shipping Act.⁶⁰

⁵⁵ *Gruenberg-Reisner*, 2017 WL 2241031 at *12.

⁵⁶ *Gruenberg-Reisner*, 34 S.R.R. at 623.

⁵⁷ *C.H. Leavell & Co. v. Hellenic Lines, Ltd.*, 13 F.M.C. 76, 89 (FMC 1969) (“The burden of showing that the charges were unreasonable is upon complainant, although ***the fact of substantial charges alone is sufficient to require the carrier to come forward with some proof of their propriety.***”) (emphasis added); see also *Gruenberg-Reisner v. Overseas Moving Specialists, Inc.*, 34 S.R.R. 613, 622-623 (FMC 2016) (holding that an NVOCC is entitled to collect pass-through assessorial charges without any markup when they are substantiated with the underlying invoices).

⁵⁸ *C.H. Leavell & Co.*, 13 F.M.C. at 89.

⁵⁹ *Id.*; *Gruenberg-Reisner*, 2017 WL 2241031 at *10.

⁶⁰ *Gruenberg-Reisner*, 2017 WL 2241031 at *20 (“The basic purpose behind surcharges such as those in issue here is to reimburse the carriers for additional costs temporarily incurred by the performance of their service, and which costs the carriers are not recovering in their basic freight rates.” Opinion and Order at 14-15 (quoting *Imposition of Surcharge at U.S. Atlantic and Gulf Ports on Cargo Moving Between Said Ports and Lain Am. Ports*, 10 F.M.C. 13, 26 (FMC 1966)).

3. **Respondents' Failure to Provide Timely Information Concerning Demurrage and Detention Charges Is Unjust and Unreasonable**

Epic's tariff states "all shipments will be subject to the origin and destination terminal charges assessed by the underlying ocean carrier, including demurrage charges, whose vessel will be clearly identified on bills of lading." PFF ¶ 4. Omni's tariff states:

(5) The merchant shall be liable for the loss, damage, contamination, soiling, detention or demurrage before, during and after the Carriage of property (including but not limited to containers) of the Carrier of any person or vessel (other than the Merchant) referred to in 5(2) above caused by the Merchant or any person acting on his behalf or for which the Merchant is otherwise responsible.

PFF ¶ 11.

However, Epic and Omni never provided the master bill of lading or another documentation for pass-through charges in a timely fashion to allow TPG to determine what those carrier's charges were. PFF ¶ 44. For the shipments for which Omni and Epic provided bills of lading to TPG, the listed carrier's tariff is not available. For example, a number of bills of lading are from World Cargo International S.A.S., which is not registered as an NVOCC or OFF or VOCC and seems to have no tariff. PFF ¶ 46. Omni and Epic should not have contracted with an entity to provide OTI services that was not a registered OTI. Some drafts of bills of lading were provided, and some of these are from an OTI named All World Shipping Corp. with OTI# 17745N, which is registered as an NVOCC. PFF ¶. Omni and Epic never provided All World Shipping Corp.'s tariff to TPG, or any other tariff of information that would have helped TPG avoid or mitigate these charges as TG has specifically requested. PFF ¶ 46..

4. **Respondents' Imposition of Unnecessary and Avoidable Charges Is Unjust and Unreasonable**

“An NVOCC is not absolved of liability for imposing avoidable charges” because even if the charges stemmed from its agent, the NVOCC violated § 41102(c) by imposing additional charges that should have been avoided.⁶¹ In *Gruenberg-Reisner*, the NVOCC’s movers failed to load the shipper’s cargo in accordance with the NVOCC’s surveyor’s recommendation.⁶² That failure resulted in the need for an additional container to accommodate the cargo.⁶³ The Commission found that regardless of whether the movers were direct employees of the NVOCC or not, the NVOCC was not absolved where its failure to cause an avoidable charge.⁶⁴

Similarity, here, Epic and Omni’s failure to enact systemic controls to properly track containers and records resulted in avoidable demurrage charges, a fact demonstrated by the lack of such excessive demurrage and other charges when TPG employed another NVOCC in parallel. PFF ¶¶ 86-92, 102-106, 109, 117-18, 124-135. Epic and Omni’s lack of transparency and desire to hide information from TPG further establishes that they knew their practice was unjust and unreasonable.

⁶¹ *Gruenberg-Reisner*, 34 S.R.R. at 622 (citing *Orolugbagbe v. A.T.I., U.S.A., Inc.*, 33 S.R.R. 1300, 1309 (FMC Oct. 2015)).

⁶² *Gruenberg-Reisner*, 34 S.R.R. at 622.

⁶³ *Id.*

⁶⁴ *Id.*

5. **Respondents' Use of Coercive Collection Practices Is Unjust and Unreasonable**

“Disputes over earlier unrelated shipments cannot be used by ... a carrier ... as justification for refusing to release the cargo...”⁶⁵ Similarly, in *Brewer v. Maralan & World Line Shipping, Inc.*, the Commission affirmed the existence of an unjust and unreasonable practice where the NVOCC held up cargo seeking additional payments.⁶⁶ There is no question that such practices are unjust and unreasonable under FMC jurisprudence.

E. **The Respondents' Practices Are the Proximate Cause of the Claimed Loss**

The Shipping act directs the Commission to order reparations for “actual injury caused by a violation” of the Shipping Act, and “‘actual injury’ includes the loss of interest ... compounded from the date of injury.”⁶⁷ Proximate caused must be proved with “reasonable certainty.”⁶⁸

Epic’s and Omni’s practices in (1) charging rates and markups that were not published in their tariffs; (2) failing to provide TPG with adequate documentation supporting fees and charges; (3) failing to provide TPG with timely information concerning detention or demurrage rates; (4) failing to prevent avoidable charges; and (5) collecting unreasonable and unsupported alleged debts from TPG by holding unrelated containers hostage, caused TPG damages in the aggregate amount of \$847,712.63.

TPG entrusted its Shipments to Epic and Omni, and but for Respondents’ mishandling of the Shipments, TPG would not have incurred the following costs:

⁶⁵ *Petra Pet, Inc.*, 2012 WL 11914703, I.D. at *21 (citing *Bernard & Weldcraft Welding Equip. v. Supertrans Int’l, Inc.*, 29 S.R.R. 1348, 1356 n.14 (ALJ 2003)).

⁶⁶ *Id.*

⁶⁷ *Gruenberg-Reisner*, 34 S.R.R. at 630.

⁶⁸ *Id.*

- 1) Unreasonable charges, including markups: \$847,712.63.^{69 70}
- 2) Charges caused by TPG's failure to avoid unnecessary charges: \$847,712.63.⁷¹
- 3) Costs caused by Respondent's improper withholding of cargo: \$18,367.10.⁷²
 - a. Container CMAU4830227 incurred \$1,265 in chassis fees, and \$4,947.36 in demurrage charges.
 - b. Container CMAU4265316 incurred \$1,265 in chassis fees, and \$4,947.37 in demurrage charges.
 - c. Container DRYU9980059 incurred \$1,265 in chassis fees, and \$4,947.37 in demurrage charges.

Each of these categories has been permitted under Commission jurisprudence.

III. Epic's and Omni's Actions and Billing Practices Violated the Shipping Act Sections 41104(a)(14),(15) (OSRA)

The Ocean Shipping Reform Act of 2022 ("OSRA 2022") was signed into law on June 16, 2022.⁷³ The Commission's General Counsel stated that:

Certain provisions of OSRA 22 are self-executing and therefore became effective immediately, including those in Section 7(a) of the law directed towards common carriers. This includes the prohibitions on assessing non-compliant charges [46 U.S.C. 41104(a)(14)] or issuing non-compliant invoices for demurrage or detention charges, [46 U.S.C. 41104(a)(15)] as well all of the new

⁶⁹ *Gruenberg-Reisner v. Overseas Moving Specialists, Inc.*, Informal Docket No. 1947(I), 2017 WL 2241031 at *12 (FMC May 17, 2017) (awarding reparations for unsubstantiated charges).

⁷⁰ *CMI Distribution, Inc.*, 2021 WL 9204113, at *17 ("The Commission agrees with the ALJ's decision to limit the reparations to the markups SBA imposed on CMI.").

⁷¹ *Gruenberg-Reisner*, 34 S.R.R. at 622 (awarding reparations for "charges [charged by the NVOCC to the shipper] that should have been avoided").

⁷² See *Total Fitness Inc.*, 1998 WL 940255 at *12 ("port fees arising from the imposition of an unreasonable practice, when attributable to that practice, may be awarded as damages").

⁷³ Pub. L. No. 117-146, 136 Stat. 1272 (June 16, 2022).

requirements related to demurrage and detention invoices. [46 USC 41104(d)]⁷⁴

Accordingly, any invoices issued after June 16, 2022, must comply with the requirements of OSRA 2022.

The Commission described the changes:

OSRA 2022 addressed the balance between common carriers and the shipping public in dealing with complaints about demurrage and detention charges. OSRA 2022 § 10, 46 U.S.C. § 41310. Specifically, pursuant to OSRA 2022, common carriers “bear the burden of establishing the reasonableness of any demurrage or detention charges pursuant to [the demurrage and detention interpretive rule] or successor regulations.” OSRA 2022 § 10, 46 U.S.C. § 41310(b)(2). This provision shifts the burden of proof regarding the reasonableness of detention or demurrage charges from the invoiced party to the common carrier. Second, OSRA 2022 requires common carriers to provide certain information on invoices for demurrage and detention charges to demonstrate that the charges comply with the demurrage and detention interpretive rule. OSRA 2022 § 7, 46 U.S.C. § 41104(a)(15) and (d)(2). Specifically, common carriers must include a statement that the charges are consistent with the Commission’s demurrage and detention rules. 46 U.S.C. § 41104(d)(2)(L). This provision requires common carriers to ensure invoiced demurrage or detention charges are consistent with the Commission’s rules, especially the demurrage and detention interpretive rule.⁷⁵

Sections 41104(a)(14) and 41104(a)(15) state that:

A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not- ...

⁷⁴ Opinion of General Counsel, *Timing of Certain Provisions of the Ocean Shipping Reform Act of 2022*, June 24, 2022; see also Industry Advisory — Demurrage & Detention Billing Practices, FMC July 22, 2022 (<https://www.fmc.gov/industry-advisory-demurrage-detention-billing-practices/>).

⁷⁵ *Wan Hai Lines, Ltd. and Wan Hai Lines (USA) Ltd.* - Possible Violations of 46 U.S.C. § 41102(c), Docket No. 21-16, 2022 WL 17830693, at *4-5 (FMC Dec. 15, 2022) (footnotes omitted).

(14) assess any party for a charge that is inconsistent or does not comply with all applicable provisions and regulations, including subsection (c) of section 41102 or part 545 of title 46, Code of Federal Regulations (or successor regulations);

(15) invoice any party for demurrage or detention charges unless the invoice includes information as described in subsection (d) showing that such charges comply with-

(A) all provisions of part 545 of title 46, Code of Federal Regulations (or successor regulations); and

(B) applicable provisions and regulations, including the principles of the final rule published on May 18, 2020, entitled "Interpretive Rule on Demurrage and Detention Under the Shipping Act" (or successor rule).⁷⁶

Section 41104(d) creates requirements for "Detention and demurrage invoice information"

including:

(1) Inaccurate invoice.-If the Commission determines, after an investigation in response to a submission under section 41310, that an invoice under subsection (a)(15) was inaccurate or false, penalties or refunds under section 41107 shall be applied.

(2) Contents of invoice.-An invoice under subsection (a)(15), unless otherwise determined by subsequent Commission rulemaking, shall include accurate information on each of the following, as well as minimum information as determined by the Commission:

(A) Date that container is made available.

(B) The port of discharge.

(C) The container number or numbers.

(D) For exported shipments, the earliest return date.

(E) The allowed free time in days.

(F) The start date of free time.

⁷⁶ 46 U.S.C. §§ 41104(a)(14), (15) (effective June 16, 2022).

(G) The end date of free time.

(H) The applicable detention or demurrage rule on which the daily rate is based.

(I) The applicable rate or rates per the applicable rule.

(J) The total amount due.

(K) The email, telephone number, or other appropriate contact information for questions or requests for mitigation of fees.

(L) A statement that the charges are consistent with any of Federal Maritime Commission rules with respect to detention and demurrage.

(M) A statement that the common carrier's performance did not cause or contribute to the underlying invoiced charges.⁷⁷

Here, none of the invoices issued by Respondents after the effective date of the OSRA 2022 include all information required by the statute. PFF ¶ 144. This amounts to \$59,789.47 in improper charges. PFF ¶ 144.

IV. TPG's Damages

The attached Shipping Chart PFF ¶ 144 sets forth charges invoiced by Respondents that are claimed as damages here. These charges include demurrage, storage, and chassis charges.

A. Demurrage Charges

A total of \$543,445.69 of demurrage charges have been invoiced. However, only \$93,335.34 of demurrage charges have been supported by carriers' invoices. The charges that are

⁷⁷ 46 U.S.C. § 41104(d) (effective June 16, 2022).

supported by carrier invoices are not reasonable and could have been avoided. Accordingly, the amount of unsupported demurrage charges is \$543,445.69.⁷⁸

B. Storage Charges

Respondents invoiced a total of \$139,728.19 in storage charges. None of the charges have been supported by documentation provided by Respondents to TPG.

C. Chassis Charges

Respondents invoiced a total of \$161,538.75 in chassis charges. None of the charges have been supported by documentation provided by Respondents to TPG.

Accordingly, the total amount of damages incurred is a total of **\$847,712.63**.

CONCLUSION

The evidence in the record reflects that Respondents, Epic and Omni, engaged in deceptive and fraudulent conduct in regard to its billing practices, resulting in TPG having to pay **\$847,712.63** in unjustified demurrage and other ancillary charges. To the extent that the record is incomplete as to the total amount of damages suffered by TPG, it is direct result of Respondents' willing and deliberate refusal to provide relevant information. Accordingly, any uncertainty or gaps in the record should be construed against Respondents and a judgment should be entered against Respondents in the amount of **\$847,712.63**, plus interests, costs, an attorneys' fees. Further, TPG respectfully requests that the Commission issue an Order (1) compelling Respondents to cease and desist from violations of the Shipping Act, and (2) putting in place lawful and reasonable

⁷⁸ As discussed above, Respondents submitted credit card slips purportedly demonstrating that they paid demurrage charges on behalf of TPG. However, as discussed above, the credit card slips alone do not and cannot demonstrate that these demurrage charges were justified.

practices to preclude Respondents from demanding that TPG pay unsubstantiated and unlawful charges.

Dated: February 22, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on February 22, 2024, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Initial Order of December 6, 2022, as follows:

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